SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED FINANCIAL STATEMENTS AND AUDITORS' REVIEW REPORT FOR THE THREE MONTH PERIOD AND YEAR ENDED DECEMBER 31, 2006

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

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REVIEW REPORT ON INTERIM CONSOLIDATED FINANCIAL STATEMENTS

To the shareholders
Saudi Basic Industries Corporation (SABIC)
(Saudi Joint Stock Company)
Riyadh, Saudi Arabia

We have reviewed the accompanying interim consolidated balance sheet of Saudi Basic Industries Corporation (SABIC) a Saudi joint stock company and its subsidiaries ("the Company") as of December 31, 2006, and the related interim consolidated statement of income for the three month period and year ended December 31, 2006 and interim consolidated statements of shareholders' equity and cash flows for the year then ended. These interim consolidated financial statements are the responsibility of Company's management and were prepared and presented to us with all the necessary information and explanations which we requested.

We conducted our review in accordance with the standard of the interim financial statements issued by the Saudi Organization for Certified Public Accountants. A review consists principally of applying analytical review procedures to financial data and information and making inquiries of persons responsible for financial accounting matters. The scope of the review is substantially less in scope than an audit in accordance with generally accepted auditing standards, the objective of which is the expression of an opinion on the financial statements taken as a whole. Accordingly, we do not express such an opinion.

Based on our review, we are not aware of any material modifications that should be made to the accompanying interim consolidated financial statements for them to be in conformity with generally accepted accounting standards.

Deloitte & Touche
Bakr Abulkhair & Co.



Bakr A. Abulkhair
License No. 101

Muharram 3, 1428
January 22, 2007

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED BALANCE SHEET
AS OF DECEMBER 31, 2006

	Note	(Unaudited) 2006 SR 000	(Audited) 2005 SR 000
ASSETS			
Current assets			
Cash and cash equivalents		**42,277,914**	28,172,569
Accounts receivable		**16,631,581**	14,520,648
Inventories		**13,466,017**	10,642,446
Prepaid expenses and other receivables		**2,553,144**	2,945,182
Total current assets		**74,928,656**	56,280,845
Non-current assets			
Investments in associates and others	2	**2,848,614**	5,898,098
Property, plant and equipment, net		**79,080,554**	66,096,734
Intangible assets		**5,436,069**	5,335,038
Other non-current assets		**4,719,797**	3,339,765
Total non-current assets		**92,085,034**	80,669,635
TOTAL ASSETS		**167,013,690**	136,950,480
LIABILITIES AND EQUITY			
Current liabilities			
Accounts payable		**10,881,033**	7,781,718
Short term bank facilities		**607,622**	351,695
Current portion of long term debt		**5,396,727**	6,352,264
Accrued liabilities and provisions		**8,633,568**	6,845,014
Dividends payable	7	**664,782**	616,425
Total current liabilities		**26,183,732**	21,947,116
Non-current liabilities			
Long term debt		**30,440,338**	23,017,180
Sukuk	8	**3,000,000**	-
Other non-current liabilities		**6,653,533**	6,764,647
Total non-current liabilities		**40,093,871**	29,781,827
Equity			
Shareholders' equity			
Share capital	1	**25,000,000**	20,000,000
Statutory reserve		**9,415,968**	9,415,968
Research and technology reserve		**1,291,691**	1,291,691
General reserve		**20,631,558**	17,589,241
Retained earnings		**16,569,057**	14,043,717
Total shareholders' equity		**72,908,274**	62,340,617
Minority interests		**27,827,813**	22,880,920
Total Equity		**100,736,087**	85,221,537
TOTAL LIABILITIES AND EQUITY		**167,013,690**	136,950,480

The accompanying notes form an integral part of these interim consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(JOINT STOCK COMPANY)

INTERIM CONSOLIDATED STATEMENT OF INCOME
FOR THE THREE MONTH PERIOD AND YEAR ENDED DECEMBER 31, 2006

	Note	**(Unaudited)** For the three month ended **December 31, 2006** **SR 000**	(Unaudited) For the three month ended December 31, 2005 SR 000	**(Unaudited)** For the year ended **December 31, 2006** **SR 000**	(Audited) For the year ended December 31, 2005 SR 000
Sales		**22,931,166**	21,470,931	**86,526,940**	78,253,536
Cost of sales		**(12,440,114)**	(13,230,566)	**(51,209,927)**	(45,169,206)
Gross profit		**10,491,052**	8,240,365	**35,317,013**	33,084,330
Administrative and marketing expenses		**(1,073,062)**	(975,979)	**(4,253,757)**	(3,914,352)
Operating income		**9,417,990**	7,264,386	**31,063,256**	29,169,978
Investment income and others		**1,066,722**	364,687	**2,657,010**	1,237,428
Financial charges		**(530,737)**	(321,518)	**(1,812,741)**	(1,397,257)
Income before minority interest and zakat		**9,953,975**	7,307,555	**31,907,525**	29,010,149
Minority interest in net income of subsidiaries		**(3,259,406)**	(2,462,562)	(10,538,468)	(9,100,464)
Income before zakat		**6,694,569**	4,844,993	**21,369,057**	19,909,685
Zakat	4	**(550,000)**	(332,000)	**(1,050,000)**	(750,000)
NET INCOME FOR THE PERIOD		**6,144,569**	4,512,993	**20,319,057**	19,159,685
Earnings per share (SR)	10	**2.45**	1.81	**8.13**	7.66

The accompanying notes form an integral part of these interim consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED STATEMENT OF SHAREHOLDERS' EQUITY FOR THE THREE MONTH PERIOD AND YEAR ENDED DECEMBER 31, 2006

	Note	Share capital SR 000	Statutory reserve SR 000	Research and technology reserve SR 000	General reserve SR 000	Retained earnings SR 000	Total SR 000
December 31, 2006 (Unaudited)							
Balance as of January 1, 2006		**20,000,000**	**9,415,968**	**1,291,691**	**17,589,241**	**14,043,717**	**62,340,617**
Increase in share capital	1	**5,000,000**	-	-	-	**(5,000,000)**	-
Annual dividends	7	-	-	-	-	**(6,000,000)**	**(6,000,000)**
Board of Directors' remuneration	7	-	-	-	-	**(1,400)**	**(1,400)**
Transfer to general reserve	7	-	-	-	**3,042,317**	**(3,042,317)**	-
Net income for the period		-	-	-	-	**20,319,057**	**20,319,057**
Interim dividends	7	-	-	-	-	**(3,750,000)**	**(3,750,000)**
Balance as of December 31, 2006		**25,000,000**	**9,415,968**	**1,291,691**	**20,631,558**	**16,569,057**	**72,908,274**
December 31, 2005 (Audited)		15,000,000	7,500,000	1,291,691	13,881,503	13,209,138	50,882,332
Balance as of January 1, 2005		5,000,000	-	-	-	(5,000,000)	-
Increase in share capital		-	-	-	-	(4,500,000)	(4,500,000)
Annual dividends		-	-	-	-	(1,400)	(1,400)
Board of Directors' remuneration		-	-	-	3,707,738	(3,707,738)	-
Transfer to general reserve		-	-	-	-	19,159,685	19,159,685
Net income for the period		-	1,915,968	-	-	(1,915,968)	-
Interim dividends		-	-	-	-	(3,200,000)	(3,200,000)
Balance as of December 31, 2005		20,000,000	9,415,968	1,291,691	17,589,241	14,043,717	62,340,617

The accompanying notes form an integral part of these interim consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC)
(SAUDI JOINT STOCK COMPANY)

INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE THREE MONTH PERIOD AND YEAR ENDED DECEMBER 31, 2006

	(Unaudited) 2006 SR 000	(Audited) 2005 SR 000
OPERATING ACTIVITIES		
Income before zakat	**21,369,057**	19,909,685
Adjustments for:		
Depreciation and amortization	**6,115,647**	6,530,723
Equity in earnings of associated companies	**(204,421)**	(526,168)
Minority interest in net income of subsidiaries	**10,538,468**	9,100,464
Changes in operating assets and liabilities:		
Accounts receivable and prepaid expenses	**(1,718,895)**	(968,480)
Inventories	**(2,823,571)**	(1,487,822)
Payables, accrued liabilities and provisions	**4,623,953**	(889,327)
Other non-current liabilities	**(111,114)**	1,797,940
Zakat paid	**(787,484)**	(331,019)
Net cash from operating activities	**37,001,640**	33,135,996
INVESTING ACTIVITIES		
Additions to property, plant and equipment, net	**(18,150,020)**	(7,599,562)
Investments, net	**3,253,905**	(2,681,959)
Intangible assets	**(597,248)**	183,315
Other non-current assets, net	**(1,833,262)**	(528,443)
Net cash used in investing activities	**(17,326,625)**	(10,626,649)
FINANCING ACTIVITIES		
Long term debt, net	**6,467,621**	(3,973,596)
Sukuk	**3,000,000**	-
Short term bank facilities, net	**255,927**	(131,834)
Dividends paid	**(9,701,643)**	(7,421,564)
Minority interest, net	**(5,591,575)**	(6,054,915)
Net cash used in financing activities	**(5,569,670)**	(17,581,909)
Net change in cash and cash equivalents	**14,105,345**	4,927,438
Cash and cash equivalents, January 1	**28,172,569**	23,245,131
CASH AND CASH EQUIVALENTS, DECEMBER 31	**42,277,914**	28,172,569

The accompanying notes form an integral part of these interim consolidated financial statements.

1. ORGANIZATION AND ACTIVITIES

Saudi Basic Industries Corporation (SABIC) is a Saudi joint stock company established pursuant to Royal Degree Number M/66 dated 13 Ramadan 1396 (September 6, 1976) and registered in Riyadh under commercial registration No. 1010010813 dated 14 Muharram 1397 (January 4, 1977). SABIC is 70% owned by the Government of the Kingdom of Saudi Arabia and is 30% owned by the private sector.

The Extraordinary General Assembly in its meeting held on 24 Rabi Al Awal, 1427 corresponding to April 22, 2006, approved to increase the share capital by SR 5,000 million through issuing 1 bonus share for every 4 shares held. Accordingly the Company's share capital as of December 31, 2005 amounting to SR 25 billion is divided into 2.5 billion shares of SR 10 each as of December 31, 2006 (SR 20 billion divided into 2 billion shares of SR 10 each after stock split of 2005).

In accordance with the Capital Market Authority's announcement No. 4/154/2006 dated Safar 27, 1427 (March 27, 2006) issued pursuant to the Councils of Ministers resolution to split the shares of joint stock companies, the par value of the share has been split to SR 10 instead of SR 50. Accordingly, the Company's number of shares became 2.5 billion shares. The shares resumed trading after the split effective Rabie Al-Awal 17, 1427 (April 15, 2006).

The principal activities of SABIC and its main subsidiaries ("the Company") are the execution of petrochemical, fertilizers, metal, steel, aluminum, and basic hydrocarbon industries; and the establishment of projects to supply the Company with raw material requirements, and the marketing of industrial products inside and outside the Kingdom.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accompanying interim consolidated financial statements have been prepared in accordance with the Standard of Interim Financial Reporting issued by the Saudi Organization for Certified Public Accountants. The significant accounting policies adopted by the Company in preparing its interim consolidated financial statements, summarized below, are in conformity with those described in the annual audited consolidated financial statements for the year ended December 31, 2005. The interim consolidated financial statements and the accompanying notes should be read with the annual audited consolidated financial statements and the related notes for the year ended December 31, 2005.

Use of estimates

The preparation of the interim consolidated financial statements by management requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities. The actual results ultimately may differ from these estimates.

Basic principles of consolidation

The interim consolidated financial statements include the individual financial statements of SABIC and its subsidiaries, as adjusted by the elimination of intercompany balances and transactions. An investee company is classified as a consolidated subsidiary based on the degree of effective control exercised by SABIC compared to other shareholders, from the date on which control is transferred to SABIC.

The subsidiary companies consolidated in these financial statements are as follows:

	Shareholding %	
	2006	2005
SABIC Industrial Investments Company and its subsidiaries (SIIC)	**100.00**	100.00
SABIC Luxembourg S.a.r.l. and its subsidiaries	**100.00**	100.00
SABIC Asia Pacific Pte. Ltd. and its subsidiaries	**100.00**	100.00
Arabian Petrochemical Company and its subsidiary (Petrokemya)	**100.00**	100.00
Saudi Iron and Steel Company (Hadeed)	**100.00**	100.00
SABIC Antilles N.V.	**100.00**	100.00
SABIC Sukuk LLC (SUKUK)	**100.00**	-
Saudi European Petrochemical Co. (Ibn Zahr)	**80.00**	70.00
Jubail United Petrochemical Company (United)	**75.00**	75.00
National Chemical Fertilizer Co. (Ibn Al-Baytar)	**71.50**	71.50
National Industrial Gases Company (Gas)	**70.00**	70.00
Yanbu National Petrochemical Company (Yansab)	**55.95**	-
Arabian Industrial Fiber Company (Ibn Rushd)	**53.90**	53.90
Saudi Methanol Company (Ar-Razi)	**50.00**	50.00
Al-Jubail Fertilizer Company (Al-Bayroni)	**50.00**	50.00
Saudi Yanbu Petrochemical Company (Yanpet)	**50.00**	50.00
National Methanol Company (Ibn Sina)	**50.00**	50.00
Saudi Petrochemical Company (Sadaf)	**50.00**	50.00
Eastern Petrochemical Company (Sharq)	**50.00**	50.00
Al-Jubail Petrochemical Company (Kemya)	**50.00**	50.00
Saudi Arabian Fertilizer Co. (Safco)	**42.99**	42.99

All subsidiaries are incorporated in the Kingdom of Saudi Arabia except for Sabic Luxembourg S.a.r.l., SABIC Antilles N.V. and SABIC Asia Pacific Pte. Ltd., which are incorporated in Luxembourg, Netherlands and Republic of Singapore, respectively.

Pursuant to the Ministerial resolution number 10446 of Dhul Qa'da 5, 1426 (December 7, 2005), Yanbu National Petrochemical Company (Yansab), a Saudi joint stock company was established with a share capital of SR 5,625 million, divided into 112.5 million shares of SR 50 each (562.5 million shares of SR 10 each after the split). The Company owns 55.95% of the share capital of Yansab. Included in this holding is 4% (4.5 million shares, 22.5 million shares after the split) owned by SIIC, which was sold to eligible employees at par value under a stock grant scheme. Yansab's legal incorporation process was completed on Muharram 14, 1427 (February 13, 2006).

During the year, SABIC acquired the share of one of the shareholders of Saudi European Petrochemical Co. (Ibn Zahr) representing 10% of total shareholding, consequently, the equity interest of SABIC in Ibn Zahr increased from 70% to 80%.

SABIC Sukuk LLC (SUKUK), a limited liability company, was incorporated on Jumada Al Awal 29, 1427 H, corresponding to June 14, 2006, with a share capital of SR 500,000 and is wholly owned by SABIC. SUKUK's objective is to provide services and support related to bonds/sukuk issued by SABIC.

On December 29, 2006, the Company acquired 100% of the voting shares of Huntsman Petrochemicals (UK) Ltd., an unlisted company based in the United Kingdom engaged in the production of basic chemicals for a cash consideration of USD 685 million. Huntsman Petrochemicals (UK) Ltd. renamed SABIC UK for Petrochemicals Company owns and operates a 865 ktpa ethylene cracker and 1.3 million tonnes per annum aromatics units with extensive logistical facilities at Wilton and North East England.

The financial position of SABIC UK for Petrochemicals Company (formerly Huntsman Petrochemicals (UK) Ltd.) as of December 31, 2006 is included in the accompanying consolidated financial statements.

SABIC is currently in the process of incorporating a company in the name of "Saudi Kayan Petrochemical Company" (SAUDI KAYAN), located in Madinat Al-Jubail Al-Sinaiyah with a share capital amounting to SR 15 billion, in which SABIC and Kayan Petrochemical Company will hold 35% and 20% of the shares respectively and the remaining 45% will be offered to the public.

Interim results
The results of operations for the interim periods may not be a fair indication of the results of the full year operations.

Accounting convention
The interim consolidated financial statements are prepared under the historical cost convention except for available for sale securities which are measured at fair value, and investments in associated companies which are accounted for on the equity basis.

Investments in associated companies and other
Investments of 20% or more in the capital of investees, other than subsidiary companies, and over which there is significant influence, are reflected in the consolidated financial statements based on the equity method. The Company's share in the results of these investee companies is classified as investment income in the interim consolidated statement of income.

Investments in marketable securities that are owned by less than 20% are reflected at market value and are classified as securities available for sale. Investments that are owned by less than 20% for which there is no readily available market are stated at cost less any decline in value which is other than temporary, if any. Investment income is recognized as dividends are declared.

Investments that are bought with the intention of being held to maturity are carried at cost (adjusted for any premium or discount), less any decline in value which is other than temporary. Such investments are classified as non current assets with the exception of bonds which mature in the next fiscal period, which are classified as current assets.

Inventories
Inventories are stated at the lower of cost or market value. Cost is determined, for finished goods, on a weighted average cost basis and includes cost of materials, labor and an appropriate proportion of direct overheads.

Pre-operating expenses
Pre-operating expenses include start-up costs expected to provide benefits in future periods. Amortization is provided, using the straight line method, over the shorter of the estimated useful lives or seven years.

Goodwill
The excess of consideration paid over the fair value of net assets acquired is recorded as goodwill and at the end of each reporting period is measured and reported in the financial statements at carrying value after being adjusted for impairment, if any, as per the amended accounting standard issued by SOCPA on intangible assets.

The Company ceased the amortization of the goodwill effective January 1, 2006 and considered the net book value as of December 31, 2005 as cost and implemented the amended Saudi accounting standard on intangible assets.

If material, the carrying amount of negative goodwill is netted off from fair value of property and equipment.

Impairment of assets

At each interim balance sheet date, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment and intangible loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash generating unit to which the asset belongs.

If the recoverable amount of an asset or cash generating unit is estimated to be less than its carrying amount, the carrying amount of the asset or cash generating unit is reduced to its estimated recoverable amount. Impairment losses are expensed in the interim consolidated statement of income.

Where an impairment loss subsequently reverses, the carrying amount of the asset or the cash generating unit is increased to the revised estimate of its recoverable amount, so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset or cash generating unit in prior years. A reversal of an impairment loss is recognized as income immediately in the interim consolidated statement of income.

Property, plant and equipment

Property, plant and equipment are stated at cost net of accumulated depreciation. Expenditure on maintenance and repairs is expensed, while expenditure for betterments is capitalized. Depreciation is provided over the estimated useful lives of the applicable assets using the straight-line method. Leasehold improvements are amortized over the shorter of the estimated useful life or the remaining term of the lease. The estimated useful lives of the principal classes of assets are as follows:

	Years
Plant, machinery and equipment	20
Buildings	33
Furniture and office equipment	4-20
Vehicles	4

Revenue recognition
Sales represent the invoice value of shipped goods and services provided by the Company during the period net of trade and quantity discounts. Sales are reported net of marketing expenses in accordance with marketing and off take agreements.

Investment income from associated companies is recognized based on the equity method.

Earnings from bank deposits are recognized on the accrual basis.

Zakat and income tax
Zakat is provided in accordance with the Regulations of the Directorate of Zakat and Income Tax ("DZIT") in the Kingdom of Saudi Arabia and on an accrual basis. The provision is charged to the consolidated statement of income. Zakat is provided on quarterly basis and adjusted based on actual at year end. Any difference in the estimate is recorded when the final assessment is approved by DZIT, at which time the provision is cleared. Foreign shareholders in subsidiaries are subject to income tax which is included in minority interest in the consolidated interim financial statements.

For subsidiaries outside the Kingdom of Saudi Arabia, provision for tax is computed in accordance with tax regulations in the respective countries, if required.

Foreign currency translation
Foreign currency transactions are translated into Saudi Riyals at the rates of exchange prevailing at the time of the transactions. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rates prevailing at that date. Gains and losses from settlement and translation of foreign currency transactions are included in the interim consolidated statement of income.

For the purposes of consolidated financial statements, the financial statements in foreign currencies are translated into Saudi Riyals at the rates of exchange prevailing at the balance sheet date for assets and liabilities and the average of exchange rates for the period for revenues and expenses. Components of equity, other than retained earnings are translated at the rates prevailing at the date of their occurrence. Translation adjustments, if significant, are recorded as a separate component of shareholders' equity.

End-of-service indemnities and early retirement plan
End-of-service indemnities are provided for in accordance with the Company's policies and the requirements of Saudi Arabian Labor Law. Employees' early retirement plan costs are charged to the interim consolidated statement of income in the period the employee retires.

Cash and cash equivalents
Cash and cash equivalents include cash, demand deposits, and highly liquid investments with original maturities of three months or less.

Research and development expenses
Research and development expenses are charged to the consolidated statements of income when incurred.

Cost of sales and expenses
Production costs, direct expenses and selling and distribution expenses not deducted from sales are classified as cost of sales. All other expenses are classified as administrative and marketing expenses.

Dividends
Dividends are recognized as a liability at the time of their approval by the General Assembly of the shareholders. Interim dividends are recorded as approved by the Board of Directors.

Derivative financial instruments
The Company uses derivative financial instruments, including interest rate swaps and options, to hedge its risks associated with interest rate and foreign currency fluctuations. Derivative assets related to the financial instruments are initially recognized in the interim consolidated balance sheet at cost and are subsequently measured at fair market value, with gains and losses being included in the interim consolidated statement of income.

Leasing
Leases are classified as capital leases whenever the terms of the lease transfer substantially all of the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Assets held under capital leases are recognized as assets of the Company at the lower of the present value of the minimum lease payments or the fair market value of the assets at the inception of the lease.

Finance costs, which represent the difference between the total leasing commitments and the lower of the present value of the minimum lease payments or the fair market value of the assets at the inception of the lease, are charged to the income statements over the term of the relevant lease in order to produce a constant periodic rate of charge on the remaining balance of the obligations for each accounting period.

Capitalized leased assets are depreciated over the shorter of the estimated useful life of the asset or the lease term.

Rentals payable under operating leases are charged to income on a straight line basis over the term of the operating lease.

3. CONTINGENT LIABILITIES

The Company is involved in litigation matters in the ordinary course of business, which are being defended. While the ultimate results of these matters cannot be determined with certainty, management does not expect that they will have a material adverse effect on the interim consolidated financial statements of the Company.

The Company's bankers have issued, on its behalf, bank guarantees amounting to SR 2.03 billion (SR 1.5 billion as of December 31, 2005) in the normal course of business.

4. ZAKAT

During 2006, SABIC received the preliminary objection committee's decision regarding the zakat assessments on the unconsolidated financial statements of SABIC for the years 1983 through 2002. SABIC has filed an appeal with the appellate committee contesting the preliminary objection committee's decision and is awaiting the hearing.

DZIT finalized the zakat assessments for the years 2003 and 2004 against which SABIC has filed an objection, contesting these assessments. The zakat return for the year 2005 is currently under review by DZIT.

In the opinion of the management, adequate provision has been made in the interim consolidated financial statements.

5. SEGMENT INFORMATION

The Company's operations consist of the following segments:

- **The petrochemicals segment**, includes basic chemicals, intermediates, PVC and polyesters, polyolefins and fertilizer products
- **The metals segment**, consists of steel products and investments in aluminum production facilities
- **The corporate segment**, includes the corporate and treasury operations, and research and technology centers

There are no significant inter-segment revenues between the petrochemicals and the metals segments.

	Petrochemicals SR 000	Metals SR 000	Corporate SR 000	Total SR 000
December 31, 2006 (Unaudited)				
Sales	**73,999,060**	**7,611,579**	**4,916,301**	**86,526,940**
Gross profit	**31,151,422**	**1,975,616**	**2,189,975**	**35,317,013**
Net income	**16,225,030**	**1,725,077**	**2,368,950**	**20,319,057**
Total assets	**106,565,455**	**16,409,137**	**44,039,098**	**167,013,690**
Total liabilities	**33,458,960**	**6,470,804**	**26,347,839**	**66,277,603**
December 31, 2005 (Audited)				
Sales	66,638,178	7,193,152	4,422,206	78,253,536
Gross profit	28,816,673	2,282,748	1,984,909	33,084,330
Net income	14,757,787	1,874,290	2,527,608	19,159,685
Total assets	86,951,135	14,475,961	35,523,384	136,950,480
Total liabilities	27,309,785	5,287,933	19,131,225	51,728,943

A substantial portion of SABIC's operating assets are located in the Kingdom of Saudi Arabia. The principal markets for SABIC petrochemical products are Europe, the Middle East, and Asia Pacific. It is not practicable to summarize the sales of the petrochemicals segment by geographic areas.

6. SALES AND COST OF SALES

Three month period ended December 31, 2006:
The main reason for increase in sales is due to the increase in prices of the products sold compared those of the comparable prior period.

The main reason for the decrease in cost of sales is due to the decrease in prices of raw-materials compared those of the comparable prior period.

Year ended December 31, 2006:
The main reasons for the increase in sales are due to the increase in prices and quantities of the products sold compared to those of the comparable prior year.

The main reasons for the increase in cost of sales are due to the increase in prices of the raw-materials and quantities sold.

7. APPROPRIATION OF NET INCOME

The General Assembly, in its annual meeting held on Rabie Al-Awal 24, 1427 (April 22, 2006), approved the appropriation of the net income for the year ended December 31, 2005 as follows:

- distribution of cash dividends of SR 9,200 million (SR 23 per share) including interim cash dividends of SR 3,200 million (SR 8 per share)
- transfer 10% of net income to statutory reserve
- payment of SR 1.4 million as Board of Directors' remuneration
- transfer the remaining balance to the general reserve

The Board of Directors proposed on 27 Dhul Qaida 1427, corresponding to December 18, 2006, to distribute cash dividends of SR 10,000 million (SR 4 per share), for the year ended December 31, 2006, including interim cash dividends of SR 3,750 million (SR 1.5 per share) previously approved by the Board of Directors on July 15, 2006.

8. SUKUK

On July 29, 2006, the Company issued a SR 3 billion Sukuk facility in tranches, at par value of SR 50,000 each without discount or premium, maturing in 2026.

The Sukuk bears a return based on SIBOR plus a margin of 40 basis points per annum payable quarterly in arrears from the net income received under the Sukuk assets held by the Sukuk custodian "SABIC Sukuk Company", a wholly owned subsidiary of the Company.

At the end of each five year period, the Company shall pay an amount equal to 10% of the aggregate face value of the Sukuk as bonus to the Sukuk holders.

The Company has provided an undertaking to the Sukuk holders to purchase the Sukuk from the shareholders in the years 2011, 2016, 2021 at an amount equivalent to 90%, 60% and 30% of the face value respectively.

As of December 31, 2006, total Sukuk issued by the Company under the above mentioned facility amounted to SR 3 billion. The periodic distributions expensed during the year amounted to SR 73.4 million.

9. DERIVATIVES

The Company entered into interest rate swap agreements and swap arrangements to hedge the volatility in interest rates related to loans outstanding at period end amounting to SR 19.2 billion (SR 12.2 billion as of December 31, 2005). The swap agreements can be exercised on different dates. The agreements state that premiums should be paid quarterly.

10. EARNINGS PER SHARE

The earnings per share are calculated based on the number of outstanding shares at the end of the period. The outstanding number of shares at December 31, 2006 was 2.5 billion shares (2 billion shares at December 31, 2005 adjusted for the stock split).

The calculation of the earnings per share for the previous financial periods for 2005 has been adjusted retroactively to reflect the bonus share and the stock split.

11. COMPARATIVE FIGURES

Certain of the prior period figures have been re-classified to conform with the current period's presentation.